

HOUSING FINANCE

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Housing
Finance

Turning dreams into homes

UNAUDITED FINANCIAL STATEMENTS AND DISCLOSURES FOR THE PERIOD ENDED 30 JUNE 2011

I STATEMENT OF FINANCIAL POSITION	GROUP				COMPANY			
	30.06.2010	31.12.2010	31.03.2011	30.06.2011	30.06.2010	31.12.2010	31.03.2011	30.06.2011
	UnAudited (Ksh'000)	Audited (Ksh'000)	Unaudited (Ksh'000)	Unaudited (Ksh'000)	UnAudited (Ksh'000)	Audited (Ksh'000)	Unaudited (Ksh'000)	Unaudited (Ksh'000)
A. ASSETS								
1 Cash balances	123,978	101,224	130,043	108,059	123,978	101,224	130,043	108,059
2 Balances due from Central Bank of Kenya	-	-	-	-	-	-	-	-
3 Government securities	510,186	539,835	535,309	539,679	510,186	539,835	535,309	539,679
4 Foreign Currency Treasury bills and bonds	-	-	-	-	-	-	-	-
5 Deposits and balances due from banking institutions	5,181,432	8,185,432	8,226,708	7,548,683	5,181,432	8,185,419	8,226,708	7,548,683
6 Deposits and balances due from banking institutions abroad	-	-	-	-	-	-	-	-
7 Government and other securities held for dealing purposes	-	-	-	-	-	-	-	-
8 Tax recoverable	26,021	-	-	16,763	1,919	-	-	-
9 Loans and advances to customers (net)	16,357,930	19,503,400	20,365,783	21,535,410	16,357,930	19,503,400	20,365,783	21,535,410
10 Investment securities	-	-	-	-	-	-	-	-
11 Balances due from group companies	-	-	-	-	-	-	-	-
12 Investment in associates	-	-	-	-	-	-	-	-
13 Investment in subsidiary companies	-	-	-	-	130,020	130,020	130,020	130,020
14 Investment in Joint ventures	-	-	-	-	-	-	-	-
15 Investment properties	-	-	-	-	-	-	-	-
16 Property and equipment	604,721	600,417	616,384	681,224	598,609	594,341	610,327	675,186
17 Prepaid operating lease rentals	48,936	48,615	48,454	48,294	41,940	41,710	41,595	41,480
18 Intangible assets	2,978	3,085	2,423	9,378	2,956	3,068	2,409	9,367
19 Deferred tax asset	73,866	76,050	76,052	76,050	18,761	23,006	23,006	23,006
20 Retirement benefit asset	-	-	-	-	-	-	-	-
21 Other assets	116,492	220,338	223,225	248,108	99,423	203,818	206,654	231,631
22 TOTAL ASSETS	23,046,540	29,278,396	30,224,381	30,811,648	23,067,154	29,325,841	30,271,854	30,842,521
B. LIABILITIES								
23 Balances due to Central Bank of Kenya	-	-	-	-	-	-	-	-
24 Customer deposits	16,402,873	15,943,341	16,627,735	17,491,580	16,403,973	15,945,317	16,629,960	17,493,834
25 Deposits and balances due to local banking institutions	-	-	-	-	-	-	-	-
26 Deposits and balances due to foreign banking institutions	-	-	-	-	-	-	-	-
27 Other money market deposits	-	-	-	-	-	-	-	-
28 Borrowed funds	2,000,000	8,604,269	8,525,178	8,244,644	2,000,000	8,604,269	8,525,178	8,244,644
29 Balances due to group companies	-	-	-	-	14,958	14,958	14,958	14,958
30 Tax payable	-	26,337	77,754	-	-	50,441	101,858	7,341
31 Dividends payable	115,000	-	-	195,500	115,000	-	-	195,500
32 Deferred tax liability	-	-	-	-	-	-	-	-
33 Retirement benefit liability	-	-	-	-	-	-	-	-
34 Other liabilities	428,495	447,042	616,183	502,249	422,588	441,326	610,437	496,665
35 TOTAL LIABILITIES	18,946,368	25,020,989	25,846,850	26,433,973	18,956,519	25,056,311	25,882,391	26,452,942
C. SHAREHOLDERS' FUNDS								
36 Paid up capital	1,150,000	1,150,000	1,150,000	1,150,000	1,150,000	1,150,000	1,150,000	1,150,000
37 Share premium	1,549,173	1,549,173	1,549,173	1,549,173	1,549,173	1,549,173	1,549,173	1,549,173
38 Revaluation reserve	449,202	449,202	449,202	523,130	449,202	449,202	449,202	523,130
39 Retained earnings	214,040	475,040	629,354	683,182	224,503	487,163	641,286	695,086
40 Statutory Loan Loss Reserve	606,507	502,742	468,552	421,440	606,507	502,742	468,552	421,440
41 Proposed dividends	80,500	80,500	80,500	-	80,500	80,500	80,500	-
42 Capital grants	50,750	50,750	50,750	50,750	50,750	50,750	50,750	50,750
43 TOTAL SHAREHOLDERS' FUNDS	4,100,172	4,257,407	4,377,531	4,377,675	4,110,635	4,269,530	4,389,463	4,389,579
44 TOTAL LIABILITIES AND SHAREHOLDERS' FUNDS	23,046,540	29,278,396	30,224,381	30,811,648	23,067,154	29,325,841	30,271,854	30,842,521

II STATEMENT OF COMPREHENSIVE INCOME	GROUP			COMPANY				
	30.06.2010	31.12.2010	31.03.2011	30.06.2011	30.06.2010	31.12.2010	31.03.2011	30.06.2011
	UnAudited (Ksh'000)	Audited (Ksh'000)	Unaudited (Ksh'000)	Unaudited (Ksh'000)	UnAudited (Ksh'000)	Audited (Ksh'000)	Unaudited (Ksh'000)	Unaudited (Ksh'000)
1 INTEREST INCOME								
1.1 Loans and advances	1,028,551	2,221,791	651,441	1,345,100	1,028,551	2,221,791	651,441	1,345,100
1.2 Government Securities	18,067	35,222	8,323	16,667	18,067	35,222	8,323	16,667
1.3 Deposits and Placements with banking institutions	103,559	218,801	95,917	191,799	103,559	218,802	95,917	191,799
1.4 Other interest income	-	-	-	-	-	-	-	-
1.5 Total Interest income	1,150,177	2,475,814	755,681	1,553,566	1,150,177	2,475,815	755,681	1,553,566
2 INTEREST EXPENSES								
2.1 Customers' Deposits	401,258	793,444	150,158	312,780	401,268	793,472	150,167	312,807
2.2 Deposits and placements from banking institutions	-	-	-	-	-	-	-	-
2.3 Other interest expenses	85,495	281,382	170,891	344,504	85,495	281,381	170,891	344,504
2.4 Total Interest expenses	486,753	1,074,826	321,049	657,284	486,763	1,074,853	321,058	657,311
3 NET INTEREST INCOME	663,424	1,400,988	434,632	896,282	663,414	1,400,962	434,623	896,255
4 OTHER OPERATING INCOME								
4.1 Fees and commissions on loans and advances	45,645	103,294	31,740	71,059	45,645	103,294	31,740	71,059
4.2 Other fees and commissions	32,774	65,185	15,145	30,716	32,774	64,688	15,092	30,716
4.3 Foreign exchange trading income	-	-	-	-	-	-	-	-
4.4 Dividend income	-	-	-	-	-	-	-	-
4.5 Other income	36,380	85,717	16,284	38,759	35,510	84,474	15,902	37,931
4.5 Total Non interest income	114,799	254,196	63,169	140,534	113,929	252,456	62,734	139,706
5 TOTAL OPERATING INCOME	778,223	1,655,184	497,801	1,036,816	777,343	1,653,418	497,357	1,035,961
6 OPERATING EXPENSES								
6.1 Loan loss provision	117,582	238,445	75,516	150,078	117,582	238,445	75,516	150,078
6.2 Staff costs	237,007	489,608	134,301	280,303	236,954	489,511	134,283	280,144
6.3 Directors emoluments	5,631	11,222	3,771	7,612	5,631	11,222	3,771	7,612
6.4 Rental charges	6,331	13,131	3,078	7,011	6,228	12,925	3,016	6,949
6.5 Depreciation on property and equipment	27,309	41,352	10,341	21,471	17,037	41,277	10,341	21,471
6.6 Amortisation charges	5,136	3,362	840	1,696	5,002	3,171	773	1,629
6.7 Other operating expenses	172,977	297,036	98,376	223,254	183,051	296,632	98,270	222,905
6.8 Total Other Operating Expenses	571,973	1,094,156	326,223	691,425	571,485	1,093,183	325,970	690,788
7 Profit before tax and exceptional items	206,250	561,028	171,578	345,391	205,858	560,235	171,387	345,173
8 Exceptional items	-	-	-	-	-	-	-	-
9 Profit before tax but after exceptional items	206,250	561,028	171,578	345,391	205,858	560,235	171,387	345,173
10 Current tax	(67,577)	(186,803)	(51,454)	(103,552)	(67,577)	(186,803)	(51,454)	(103,552)
11 Deferred Tax	3,123	5,306	-	-	3,123	7,368	-	-
12 Profit After Tax and exceptional items	141,796	379,531	120,124	241,839	141,404	380,800	119,933	241,621
Annualised earnings per share	1.23	1.65	2.09	2.10	1.23	1.66	2.09	2.10
Dividend per share	-	0.70	-	0.50	-	0.70	-	0.50

III DISCLOSURES	30.06.2010	31.12.2010	31.03.2011	30.06.2011	30.06.2010	31.12.2010	31.03.2011	30.06.2011
	UnAudited (Ksh'000)	Audited (Ksh'000)	Unaudited (Ksh'000)	Unaudited (Ksh'000)	UnAudited (Ksh'000)	Audited (Ksh'000)	Unaudited (Ksh'000)	Unaudited (Ksh'000)
Non-Performing Loans and Advances								
a) Gross non-performing loans and advances	1,799,245	1,467,815	1,674,893	1,642,327	1,799,245	1,467,815	1,674,893	1,642,327
b) Less: Interest in Suspense	493,565	283,632	272,846	260,477	493,565	283,632	272,846	260,477